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What Is Acquisition Finance ?

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A Comprehensive Technical White Paper & Industry Handbook on Mergers & Acquisitions (M&A) Credit Structures, RBI Regulatory Directions, Leveraged Buyouts (LBOs), Private Credit AIF Mechanisms, and Deal Execution in India

Target Audience: Corporate Banking Officers, Credit Analysts, M&A Advisors, Private Credit Managers, CFOs & Finance Students

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CHAPTER 1: PRODUCT OVERVIEW & CORE FUNDAMENTALS

1.1 Definition & Essence of Acquisition Finance

Acquisition Finance refers to a specialized category of wholesale corporate debt, equity-linked debt, and structured credit facilities specifically raised by a corporate acquirer, sponsor, or Special Purpose Vehicle (SPV) to fund the purchase of another operating business entity, strategic division, or major asset block. Unlike traditional Corporate Term Loans raised to build greenfield manufacturing units or fund routine organic expansion, Acquisition Finance is designed to fund inorganic growth, strategic corporate consolidation, management buyouts (MBOs), or distress-driven asset takeovers.

In a standard acquisition financing transaction, the lender evaluates not only the historical debt-servicing capacity of the acquirer or promoter group but focuses extensively on the post-acquisition consolidated entity's cash flows, operational synergies, and the target company's standalone debt-capacity. The credit architecture often utilizes the assets, receivables, and future EBITDA of the target company itself as primary or secondary security to service the acquisition debt.

1.2 Historical Regulatory Environment in India

Historically, the Indian banking system operated under strict statutory and regulatory prohibitions regarding bank financing for share equity purchases. Under Section 19(2) of the Banking Regulation Act, 1949, and longstanding Reserve Bank of India (RBI) guidelines, Indian commercial banks were strictly barred from extending direct loans to corporate entities or promoters for purchasing equity shares of Indian target companies. This restriction was rooted in regulatory caution aimed at preventing speculative stock market bubbles, market manipulation, and excessive over-leveraging of corporate balance sheets.

Consequently, Indian corporate groups seeking to execute domestic M&A transactions historically relied on limited avenues: internal cash accruals, overseas subsidiary borrowings (subject to RBI ECB / ODI frameworks), vendor financing, or issuing equity shares to target promoters. Commercial banks were only permitted to provide limited loans against share pledges to individual promoters up to tight ceiling limits (e.g., INR 20 Lakhs per individual) or fund capital expenditure and working capital post-merger after the legal consolidation was fully completed.

1.3 The New Paradigm & RBI Liberalisation (Draft Norms 2025/2026)

To align India's wholesale financial markets with global standards and facilitate corporate consolidation, the Reserve Bank of India (RBI) initiated landmark regulatory reforms through the draft Reserve Bank of India (Commercial Banks - Capital Market Exposure) Directions, 2025/2026, and updated M&A financing frameworks. Under these modernized guidelines, the RBI has selectively permitted scheduled commercial banks to extend acquisition finance for listed and unlisted corporate acquisitions under stringent risk-management frameworks.

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The regulatory overhaul allows Indian banks to fund up to 75% of the total acquisition deal value for eligible listed target acquisitions, mandating a minimum 25% equity contribution from the acquirer/promoter. Furthermore, the growth of SEBI-registered Category II Alternative Investment Funds (AIFs) and Private Credit Funds in India has created a robust parallel market, providing structured non-convertible debentures (NCDs) and mezzanine capital to satisfy the growing demand for acquisition financing.

1.4 Spectrum of Acquisition Financing Products in India

The acquisition financing landscape in India spans multiple credit and equity instruments, organized by risk profile and capital hierarchy:

- **1.** Senior Bank Debt Facilities: Secured Rupee Term Loans extended by commercial banks up to regulatory leverage caps, offering the lowest interest cost (8.50% - 11.50% p.a.).
- **2.** Private Credit & AIF NCDs: High-yield structured Non-Convertible Debentures issued to Category II AIFs and foreign portfolio investors (FPIs), providing flexible cash/PIK coupons and higher leverage (13.00% - 18.00% YTM).
- **3.** External Commercial Borrowings (ECBs): Foreign currency acquisition debt raised by eligible Indian entities or overseas step-down subsidiaries under the RBI ECB Framework for international acquisitions.
- **4.** Mezzanine & Preferred Capital: Convertible debentures (CCDs/OCDs) or preference shares bridging the gap between senior debt and sponsor equity.
- **5.** Vendor Financing & Deferred Consideration: Earn-out structures where a portion of the target's purchase price is deferred and paid out over 2-4 years based on post-acquisition EBITDA performance.

> ★ **ROOKIE LESSON: THE SHIFT IN INDIAN M&A CREDIT:** Acquisition finance has evolved from a heavily restricted banking product into a dynamic multi-tranche ecosystem in India. While commercial banks can now fund listed M&A under RBI leverage caps, Private Credit AIFs and Foreign Portfolio Investors (FPIs) provide the flexible mezzanine debt required to complete complex leveraged corporate takeovers.

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CHAPTER 2: HOW PRODUCT STRUCTURE WORKS & DEAL ARCHITECTURE

2.1 Transaction Architecture: SPV & HoldCo vs. OpCo Structures

Acquisition transactions in India are structured through two primary legal routes: Direct Corporate Acquisition and Special Purpose Vehicle (SPV) Acquisition.

1. Direct Acquisition (OpCo Level): The operating corporate acquirer directly raises acquisition debt on its existing balance sheet to purchase the equity shares or business undertaking of the target entity. The lender has direct recourse to the acquirer's operational cash flows and assets.

2. SPV / HoldCo Leveraged Buyout (LBO) Structure: The promoter or parent company incorporates a clean Special Purpose Vehicle (SPV / HoldCo). The acquisition debt is injected directly into the SPV alongside sponsor equity. The SPV purchases 100% equity of the Target Company (OpCo). Subsequently, to allow target cash flows to service the debt, the SPV and Target Company execute a reverse merger under Sections 230-232 of the Companies Act, 2013, consolidating the debt and target assets into a single operating company.

2.2 The Capital Stack in Acquisition Deals

A typical Indian acquisition deal is funded through a multi-tiered capital structure designed to optimize weighted average cost of capital (WACC) while maintaining safe debt-servicing buffers:

Capital Tier	Deal Share %	Cost of Capital (INR)	Security Priority	Primary Providers
Senior Acquisition Loan	40% - 60%	8.50% - 11.50% p.a.	1st Pari-Passu Charge	Commercial Banks / Financial Institutions
Mezzanine / Private Credit	15% - 25%	13.00% - 18.00% YTM	2nd Charge / Share Pledge	Private Credit Category II AIFs / FPIs
Vendor Financing / Earn-out	5% - 15%	8.00% - 12.00% p.a.	Subordinated / Unsecured	Selling Target Promoters
Sponsor Equity	25% - 40%	20.00%+ Expected Return	Residual Equity Claim	Acquirer Promoters /

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	Private Equity Funds

2.3 Cash Flow Waterfalls & Escrow / TRA Mechanics

To ring-fence cash flows in acquisition financing, lenders mandate the creation of a Trust & Retention Account (TRA) or Escrow Account. All revenues generated by the target operating entity post-acquisition must be deposited into the Escrow Account and disbursed strictly according to the legally binding Escrow Waterfall Mechanism:

- **1.** Tier 1: Payment of statutory government taxes, GST, employee PF, and ESIC liabilities.
- **2.** Tier 2: Core operational and maintenance expenditure (O&M) to sustain plant operations.
- **3.** Tier 3: Servicing of Senior Bank Acquisition Loan interest and principal amortization.
- **4.** Tier 4: Funding and replenishment of the Debt Service Reserve Account (DSRA) holding 1-2 quarters of principal + interest.
- **5.** Tier 5: Servicing of Subordinated Private Credit / Mezzanine NCD coupons.
- **6.** Tier 6: Cash Sweep Mechanism (50%-75% of remaining excess cash flows allocated toward early debt prepayment).
- **7.** Tier 7: Release of residual surplus cash flows to the acquirer promoters / dividend distributions.

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CHAPTER 3: REGULATORY FRAMEWORK & RBI GOVERNANCE NORMS

3.1 Section 19(2) of Banking Regulation Act, 1949

Under Section 19(2) of the Banking Regulation Act, 1949, no banking company in India shall hold shares in any company, whether as pledgee, mortgagee or absolute owner, of an amount exceeding 30% of the paid-up share capital of that company or 30% of its own paid-up share capital and reserves, whichever is less. In acquisition financing transactions involving share pledges, this statutory cap ensures that commercial banks do not indirectly acquire controlling equity stakes in corporate borrowers or target entities upon loan default.

3.2 RBI Capital Market Exposure (CME) Directions & Liberalisation Rules

The RBI regulates commercial bank exposure to the capital markets under the Reserve Bank of India (Commercial Banks - Capital Market Exposure) Directions. Key regulatory compliance provisions governing acquisition finance include:

- • Aggregate CME Limit: A bank's aggregate capital market exposure (including acquisition financing, share pledge loans, and equity underwriting) is capped at 40% of its net worth as on March 31 of the previous financial year.
- • Listed Target Acquisition Cap: Banks are permitted to finance up to 75% of the total acquisition value for listed corporate takeovers, provided the acquirer brings in a minimum 25% equity contribution from unencumbered sources.
- • Leverage Ceiling: The post-acquisition consolidated Debt-to-Equity Ratio (DER) of the combined corporate entity should strictly not exceed 3.00:1.
- • Board-Approved Policy: Every participating bank must establish a detailed Board-approved policy covering due diligence, independent asset valuation, syndicate risk-sharing, and post-merger monitoring.

3.3 SEBI Takeover Code & Competition Commission of India (CCI) Rules

Acquisition financing structures involving listed target entities in India must strictly comply with the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 (SEBI Takeover Code):

- • Open Offer Trigger: Acquisition of 25% or more voting rights in a listed company triggers a mandatory Open Offer to public shareholders for an additional 26% of target equity.
- • Escrow Account Requirements: Under Regulation 17 of SEBI Takeover Code, the acquirer must deposit 25% of the total open offer consideration (for deals up to INR 500 Cr) in a bank cash escrow account prior to the Public Announcement. Lenders providing acquisition credit lines must issue unconditional, firm bank funding commitments to satisfy SEBI compliance.
- • CCI Approval: Acquisitions crossing statutory asset or turnover thresholds under the Competition Act, 2002, require mandatory prior clearance from the Competition Commission of India (CCI) before credit disbursement.

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• CHAPTER 4: COMMON ELIGIBILITY CRITERIA & UNDERWRITING

4.1 Acquirer & Target Evaluation Framework

Credit underwriting for acquisition finance requires a dual-entity evaluation process covering both the Acquirer Corporate Group and the Target Entity:

- **1.** Acquirer Track Record: Minimum 3-5 years of successful operating history, proven management capability in integrating acquisitions, and strong financial standing.
- **2.** Target Business Viability: Demonstrated historical EBITDA generation, defensible market position, predictable customer demand, and low technology obsolescence risk.
- **3.** Synergy Quantification: Verifiable cost synergies (e.g., headcount rationalization, logistics route optimization, bulk raw material purchasing discounts) and revenue synergies.

4.2 Financial Ratio & Coverage Benchmarks

Financial Metric / Ratio	Minimum Benchmark Threshold	Preferred Investment Grade Level
Debt Service Coverage Ratio (DSCR)	Minimum 1.35x Average	1.50x to 1.85x
Consolidated Debt / EBITDA	Maximum 4.00x	2.50x to 3.25x
Consolidated Debt-to-Equity (DER)	Maximum 3.00:1	1.50:1 to 2.00:1
Minimum Acquirer Equity Contribution	Minimum 25.0% of Deal Value	35.0% to 50.0%
Interest Coverage Ratio (ICR)	Minimum 2.25x EBITDA / Interest	3.00x+

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CHAPTER 5: SECURITY ARCHITECTURE & DOCUMENTATION REQUIREMENTS

5.1 Comprehensive Security Package

Acquisition finance lenders enforce a multi-layered security package covering physical, financial, and equity assets:

- **1.** Pledge of Target Company Shares: Exclusive or 1st pari-passu pledge of 51% to 100% dematerialized equity shares of the Target Company held by the acquirer/SPV, backed by irrevocable power of attorney (POA) and voting rights agreements.
- **2.** First Pari-Passu Mortgage: Mortgage on immovable fixed assets (land, factory buildings, warehouses) of both the Acquirer and post-merger Target entity.
- **3.** Hypothecation of Current Assets & Receivables: Charge over inventory, book debts, and receivables of the target entity post-acquisition.
- **4.** Escrow & TRA Account Charge: Exclusive charge on the Escrow / Trust & Retention Account receiving all target operating cash flows.
- **5.** Debt Service Reserve Account (DSRA): Fixed deposit pledge holding 3 to 6 months of principal and interest servicing obligations.
- **6.** Promoter Personal & Corporate Guarantees: Unconditional personal guarantee of the acquirer group promoters and corporate guarantees from parent operating entities.

5.2 Master Legal Documentation Suite

Executing an acquisition finance facility requires a highly specialized legal documentation suite:

- • Master Acquisition Facility Agreement: Core loan document defining credit limits, interest rates, drawdown conditions precedent (CPs), and financial covenants.
- • Share Pledge Agreement & Non-Disposal Undertaking (NDU): Formal share pledge creation under Section 176 of the Indian Contract Act, 1872, prohibiting promoters from encumbering target equity.
- • Escrow & Trust Retention Account (TRA) Agreement: Tripartite agreement between Acquirer, Lender, and Escrow Agent Bank establishing cash flow waterfall controls.
- • Intercreditor Agreement (ICA): Governing relations between Senior Bank Lenders and Subordinated Private Credit / Mezzanine Lenders, enforcing standstill periods (90-180 days).
- • Statutory Registrations: Mandatory ROC Form CHG-1 charge filing within 30 days under Section 77 of Companies Act, 2013, CERSAI registration, and NeSL Information Utility upload.

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CHAPTER 6: INDICATIVE TENURE, PRICING & REPAYMENT

6.1 Tenure Profiles & Facilities Structure

Acquisition debt facilities are offered under three primary tenure structures:

- **1.** Short-Term Bridge Acquisition Loans: 6 to 18 months tenure designed to provide immediate funding for deal closing, refinanced subsequently via long-term bank debt or capital market bond issuances.
- **2.** Medium-Term Senior Acquisition Facilities: 3 to 5 years tenure (industry standard for commercial banks), incorporating 6 to 12 months moratorium during post-merger integration.
- **3.** Mezzanine & Private Credit Tranches: 3 to 7 years tenure provided by Category II AIFs with bullet repayments or back-ended ballooning amortization.

6.2 Pricing Benchmarks & Fees

Interest rate pricing for acquisition finance reflects the heightened leverage risk:

- Senior Bank Debt: Floating rates linked to RBI Repo Rate (6.50%) or MCLR + Credit Risk Spread (250 bps - 450 bps) \(\rightarrow\) All-in Rate: 9.00% - 11.00% p.a.
- Private Credit NCDs: Fixed or split coupon (10.0% Cash + 4.0% PIK) targeting an all-in gross yield of 14.00% - 18.00% YTM.
- Upfront Structuring / Arrangement Fee: 1.00% to 2.50% of the aggregate sanctioned credit limit paid at first drawdown.
- Cash-Flow Sweep Penalty / Prepayment Rules: Permitted after lock-in period (12-24 months) with 1.0% - 2.0% prepayment fee unless funded via internal cash sweep.

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CHAPTER 7: SUITABLE INDUSTRIES & BUSINESS PROFILES

7.1 Prime Target Sectors in India

Acquisition finance is best suited for consolidated industries exhibiting strong asset backing, predictable cash flows, and high operational entry barriers:

- • Pharmaceuticals & Healthcare: Acquirers purchasing USFDA-approved formulations plants, active pharmaceutical ingredient (API) units, or hospital chains.
- • Information Technology (IT) & Software Services: Mid-tier IT companies acquiring niche cloud, AI, or digital transformation boutiques in India or overseas.
- • Specialty Chemicals & Materials: Domestic consolidation driven by global supply chain diversification and China-plus-one sourcing.
- • Logistics, Warehousing & Infrastructure: Acquiring port terminals, cold storage networks, and Grade-A logistics parks.
- • Consumer Goods & FMCG: Regional brand acquisitions by national consumer conglomerates.

7.2 Transaction Types

- **1.** Strategic Inbound / Domestic M&A: Market leader acquiring a competitor to gain market share.
- **2.** Outbound Cross-Border Takeovers: Indian multinationals acquiring overseas step-down targets via international SPVs.
- **3.** Distressed Asset Buyouts under IBC 2016: Successful Resolution Applicants funding the acquisition of corporate debtors undergoing NCLT insolvency proceedings.
- **4.** Promoter Buyouts / Equity Consolidation: Funding equity buyouts from exiting private equity funds or co-promoters.

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CHAPTER 8: KEY ADVANTAGES & STRUCTURAL LIMITATIONS

Key Advantages for Acquirers & Lenders	Structural Limitations & Transaction Risks
Accelerated Non-Linear Expansion: Enables rapid market share growth without waiting years for greenfield asset creation.	High Post-Acquisition Debt Service Burden: Excessive debt leverage can severely strain operational cash flows if synergies fail.
Promoter Equity Preservation: Allows acquirers to fund large takeovers with minimal upfront dilution of existing equity control.	Complex Multi-Regulatory Approvals: Requires navigating RBI CME rules, SEBI Takeover Code, CCI clearances, and ROC CHG-1 filings.
Tax Deductibility of Debt Interest: Interest paid on acquisition debt is tax-deductible under Section 36(1)(iii) of Income Tax Act, 1961.	Cultural & Operational Integration Risk: Failure to integrate workforce, IT systems, and sales channels can erode target EBITDA.
Superior Risk-Adjusted Yields for Lenders: Higher pricing spreads (250-450 bps) and comprehensive share pledge security packages.	Refinancing & Prepayment Risk: Short-term bridge facilities pose major refinancing risks if credit markets tighten.

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CHAPTER 9: COMPREHENSIVE REAL-WORLD CASE STUDY (INR)

9.1 Transaction Overview & Deal Parameters

Transaction Title: Acquisition of Astra Specialty Pharma Ltd. (Target) by Apex LifeSciences India Pvt. Ltd. (Acquirer)

Apex LifeSciences India Pvt. Ltd. (Annual Turnover: INR 650.00 Cr; EBITDA: INR 110.00 Cr) executed a definitive agreement to acquire 100% equity stake in Astra Specialty Pharma Ltd. (Annual Turnover: INR 400.00 Cr; EBITDA: INR 70.00 Cr), an active pharmaceutical ingredient (API) manufacturer holding USFDA plant approvals in Gujarat. Total Enterprise Acquisition Value: INR 800.00 Crores.

9.2 Acquisition Financing Structure (INR Crores)

Tranche Instrument	Amount (INR Cr)	% of Deal	Pricing / Cost	Tenure & Security
Promoter Equity (Apex)	INR 280.00 Cr	35.0%	Equity Risk Capital	Residual Equity Claim
Senior Bank Acquisition Debt	INR 360.00 Cr	45.0%	Repo + 2.75% (9.25% p.a.)	5 Years (1st Pari-Passu Mortgage + Share Pledge)
Private Credit Mezzanine NCDs	INR 160.00 Cr	20.0%	11.5% Cash + 3.5% PIK (15.0% YTM)	5 Years (2nd Charge + Escrow TRA Sweep)
Total Acquisition Capital	INR 800.00 Cr	100.0%	Weighted WACC: 10.40%	Consolidated Enterprise Asset Cover: 1.85x

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9.3 5-Year De-leveraging & Cash Flow Waterfall Table (INR Crores)

Financial Metric (INR Cr)	Year 1	Year 2	Year 3	Year 4	Year 5
Consolidated Revenue	INR 1,120.00	INR 1,280.00	INR 1,480.00	INR 1,700.00	INR 1,950.00
Consolidated EBITDA	INR 195.00	INR 235.00	INR 285.00	INR 340.00	INR 410.00
Senior Debt Servicing (P+I)	INR 105.30	INR 101.20	INR 97.10	INR 93.00	INR 88.90
Mezzanine Servicing (Cash+PIK)	INR 18.40	INR 18.40	INR 18.40	INR 18.40	INR 196.00 (Bullet)
Senior Debt Service Coverage (DSCR)	1.85x	2.32x	2.94x	3.66x	4.61x
Ending Senior Debt Outstanding	INR 288.00	INR 216.00	INR 144.00	INR 72.00	INR 0.00 (Fully Paid)

Financial Outcome Analysis: Post-acquisition, Apex LifeSciences realized INR 25.00 Crores in annual procurement and distribution synergies. The consolidated EBITDA grew from INR 195.00 Cr in Year 1 to INR 410.00 Cr in Year 5. Senior Bank Acquisition Debt of INR 360.00 Cr was fully paid off in 5 years, and the Mezzanine NCDs were settled via bullet redemption. The promoters expanded Enterprise Value to INR 3,280.00 Crores while maintaining 100% equity ownership.

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CHAPTER 10: ROOKIE MASTERY EXAMINATION (15 HIGH-YIELD Q&AS)

Q1: What is the primary difference between a standard Corporate Term Loan and an Acquisition Finance facility?

Answer: A standard Corporate Term Loan is extended to fund organic capital expenditure, plant modernization, or balance sheet expansion based on the existing borrower's historical cash flows. Acquisition Finance is raised specifically to purchase equity shares or operating undertakings of a target company, relying on post-acquisition consolidated cash flows and target assets/shares for debt servicing.

Q2: What statutory cap does Section 19(2) of the Banking Regulation Act, 1949, impose on commercial banks?

Answer: Section 19(2) restricts a commercial bank from holding shares in any company (whether as pledgee, mortgagee, or absolute owner) exceeding 30% of that target company's paid-up share capital or 30% of the bank's own paid-up capital and reserves, whichever is less.

Q3: Under the RBI Draft Capital Market Exposure Directions, what is the maximum percentage of deal value banks can finance for listed acquisitions?

Answer: Scheduled commercial banks are permitted to finance up to 75% of the total acquisition value for listed corporate takeovers, requiring a mandatory minimum 25% equity contribution from the acquirer.

Q4: What is the maximum post-acquisition Debt-to-Equity Ratio (DER) mandated by RBI for bank-financed acquisition deals?

Answer: The post-acquisition consolidated Debt-to-Equity Ratio (DER) of the combined corporate entity must strictly not exceed 3.00:1.

Q5: Explain the structural difference between an OpCo acquisition and a HoldCo SPV leveraged buyout (LBO).

Answer: In an OpCo acquisition, the operating parent entity directly raises debt to buy target shares. In a HoldCo SPV structure, a clean Special Purpose Vehicle raises debt alongside sponsor equity to acquire the target, followed by a reverse merger under Sections 230-232 of Companies Act, 2013, to combine debt and target operational cash flows.

Q6: How does SEBI Takeover Code Regulation 17 impact acquisition finance structures for listed Indian companies?

Answer: Regulation 17 mandates that the acquirer deposit 25% of the total open offer consideration (for deals up to INR 500 Cr) into a cash escrow account before the Public Announcement. Acquisition finance lenders must issue unconditional, firm bank funding commitments to satisfy SEBI compliance.

Q7: What is the minimum recommended Debt Service Coverage Ratio (DSCR) threshold for acquisition credit underwriting?

Answer: Underwriters mandate a minimum average DSCR of 1.35x across the loan tenure, with preferred investment-grade levels ranging between 1.50x and 1.85x.

Q8: What is a Payment-In-Kind (PIK) coupon in private credit acquisition NCDs?

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Answer: A PIK coupon is a non-cash interest component where accrued interest is not paid immediately in cash but is added to the principal loan balance, compounding over the tenure and preserving operating cash flows during post-acquisition integration.

Q9: What priority order does an Escrow / Trust & Retention Account (TRA) waterfall follow in acquisition financing?

Answer: Statutory taxes -> Essential O&M expenses -> Senior Bank Debt interest and principal -> DSRA replenishment -> Subordinated Private Credit servicing -> Cash Sweeps -> Borrower equity distributions.

Q10: What is a Cash Sweep mechanism in an acquisition facility agreement?

Answer: A Cash Sweep is a mandatory covenant requiring the corporate borrower to allocate 50% to 75% of excess annual operational cash flows (after debt service and DSRA) toward early prepayment of senior acquisition debt, accelerating balance sheet de-leveraging.

Q11: Which tax section in India allows corporate acquirers to deduct acquisition debt interest expenses?

Answer: Section 36(1)(iii) of the Income Tax Act, 1961, permits the tax deduction of interest paid on capital borrowed for business acquisition purposes, lowering the effective post-tax borrowing cost.

Q12: Why are Category II Alternative Investment Funds (AIFs) popular providers of acquisition debt in India?

Answer: AIFs are not subject to bank single-borrower exposure caps or rigid RBI capital market exposure limits, allowing them to structure high-yield NCDs with higher leverage, PIK coupons, and flexible security packages.

Q13: What mandatory charge registration forms must be filed with the Registrar of Companies (ROC) post-disbursement?

Answer: ROC Form CHG-1 must be electronically filed within 30 days of security creation under Section 77 of the Companies Act, 2013, to register mortgages, hypothecations, and share pledges.

Q14: What role does an Intercreditor Agreement (ICA) play in multi-tranche acquisition financing?

Answer: An ICA governs legal rights between Senior Bank Lenders and Subordinated Mezzanine Lenders, enforcing payment priorities, security enforcement rules, and standstill periods (90-180 days) during default events.

Q15: What is the typical tenure for a Senior Bank Acquisition Facility in India?

Answer: Senior Bank Acquisition Facilities typically offer a tenure of 3 to 5 years, often incorporating a 6 to 12 months principal moratorium during post-merger integration.

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